

FIGURE 6. AVERAGE BALANCE SHEETS, NET INTEREST INCOME AND YIELDS/RATES

Year ended December 31,	2003			2002			2001		
	Average Balance	Interest	Yield/Rate	Average Balance	Interest	Yield/Rate	Average Balance	Interest	Yield/Rate
<i>dollars in millions</i>									
ASSETS									
Loans ^{a,b}									
Commercial, financial and agricultural	\$17,161	\$ 824	4.80%	\$17,767	\$ 907	5.10%	\$19,459	\$1,362	7.00%
Real estate — commercial mortgage	5,909	315	5.32	6,345	373	5.87	6,821	511	7.50
Real estate — construction	5,335	274	5.14	5,851	315	5.38	5,654	411	7.27
Commercial lease financing	7,961	482	6.05	7,263	491	6.76	7,049	490	6.95
Total commercial loans	36,366	1,895	5.21	37,226	2,086	5.60	38,983	2,774	7.12
Real estate — residential	1,762	115	6.50	2,126	149	7.00	3,607	275	7.64
Home equity	14,578	863	5.92	13,028	889	6.82	10,595	906	8.55
Credit card	—	—	—	—	—	—	—	—	—
Consumer — direct	2,141	157	7.35	2,206	183	8.29	2,427	232	9.55
Consumer — indirect lease financing	545	52	9.51	1,405	126	8.96	2,618	217	8.27
Consumer — indirect other	5,040	423	8.38	5,155	471	9.15	5,529	530	9.58
Total consumer loans	24,066	1,610	6.69	23,920	1,818	7.60	24,776	2,160	8.72
Loans held for sale	2,447	112	4.60	2,247	123	5.52	2,217	169	7.64
Total loans	62,879	3,617	5.75	63,393	4,027	6.35	65,976	5,103	7.73
Taxable investment securities	9	1	4.75	1	—	8.59	2	—	8.60
Tax-exempt investment securities ^a	103	10	9.43	180	16	8.67	277	25	8.76
Total investment securities	112	11	9.03	181	16	8.67	279	25	8.76
Securities available for sale ^{a,c}	7,865	356	4.55	6,359	389	6.14	6,625	455	6.89
Short-term investments	1,650	30	1.84	1,496	30	1.99	1,712	65	3.81
Other investments ^c	1,023	27	2.62	871	24	2.57	849	24	2.86
Total earning assets	73,529	4,041	5.49	72,300	4,486	6.20	75,441	5,672	7.52
Allowance for loan losses	(1,410)			(1,553)			(1,090)		
Accrued income and other assets	12,229			11,034			10,552		
	<u>\$84,348</u>			<u>\$81,781</u>			<u>\$84,903</u>		
LIABILITIES AND SHAREHOLDERS' EQUITY									
NOW and money market deposit accounts	\$17,913	149	.83	\$13,761	131	.95	\$12,942	263	2.03
Savings deposits	2,072	10	.50	1,986	13	.67	1,952	21	1.05
Certificates of deposit (\$100,000 or more) ^d	4,796	186	3.93	4,741	218	4.63	5,284	301	5.71
Other time deposits	11,330	336	2.96	12,859	496	3.86	14,208	786	5.53
Deposits in foreign office	1,885	22	1.13	2,336	39	1.67	2,715	107	3.94
Total interest-bearing deposits	37,996	703	1.85	35,683	897	2.52	37,101	1,478	3.98
Federal funds purchased and securities sold under repurchase agreements	4,739	50	1.06	5,527	90	1.63	5,197	198	3.80
Bank notes and other short-term borrowings	2,612	60	2.29	2,943	79	2.67	6,829	302	4.43
Long-term debt, including capital securities ^{d,e}	16,049	432	2.79	16,961	551	3.29	15,911	824	5.20
Total interest-bearing liabilities	61,396	1,245	2.05	61,114	1,617	2.66	65,038	2,802	4.31
Noninterest-bearing deposits	10,347			9,098			8,354		
Accrued expense and other liabilities	5,702			5,045			4,939		
Common shareholders' equity	6,903			6,524			6,572		
	<u>\$84,348</u>			<u>\$81,781</u>			<u>\$84,903</u>		
Interest rate spread (TE)			3.44%			3.54%			3.21%
Net interest income (TE) and net interest margin (TE)		2,796	3.80%		2,869	3.97%		2,870	3.81%
TE adjustment ^a		71			120			45	
Net interest income, GAAP basis		<u>\$2,725</u>			<u>\$2,749</u>			<u>\$2,825</u>	
Capital securities	\$629	\$36		\$1,254	\$78		\$1,309	\$89	

^a Interest income on tax-exempt securities and loans has been adjusted to a taxable-equivalent basis using the statutory federal income tax rate of 35%.^b For purposes of these computations, nonaccrual loans are included in average loan balances.^c Yield is calculated on the basis of amortized cost.^d Rate calculation excludes basis adjustments related to fair value hedges. See Note 19 ("Derivatives and Hedging Activities"), which begins on page 80, for an explanation of fair value hedges.^e Rate calculation excludes ESOP debt.

TE = Taxable Equivalent, N/M = Not Meaningful